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in consultation with the following CHROs:

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Mirian Graddick-Weir <i>Merck & Co.</i>	Pamela Kimmet <i>Coca Cola Enterprises</i>	Ken Carrig <i>SunTrust</i>	L. Kevin Cox <i>American Express</i>
Jodee Kozlak <i>Target</i>	Sue Suver <i>Delphi Automotive</i>	Jorge Figueredo <i>McKesson</i>	Dave Pace <i>Bloomin' Brands</i>
Jeffrey Shuman <i>Quest Diagnostics</i>	Katy Barclay <i>Kroger</i>	Skip Spriggs <i>TIAA-CREF</i>	Marty Phalen <i>SCANA Corp</i>
Mara Swan <i>Manpower Group</i>	James Duffy <i>Ally</i>	Dermot O'Brien <i>ADP</i>	Melanie Stienbach <i>Miliken</i>

Instructions:

The purposes of this survey are to assess how today's CHROs allocate their time among competing demands and constituencies and to identify the challenges they face in their roles. This year we are additionally focusing on the C-Suite pipeline (i.e., "high potentials"), C-Suite failures, as well as executive leadership team dynamics. Our hope is to be able to provide

CHROs with data regarding the key leverage points in which they can help to increase effectiveness in these and other areas, particularly with regard to interfaces with the Board of Directors. Please answer the following questions to the best of your ability. On the open ended questions, we request that you provide enough detail to ensure that we know what you mean, for example, instead of "talent" you might be more specific and say "identifying the right executive level talent, or "making sure we have enough bench strength among our executive team". However, answering some of these questions may be time consuming, so in the interest of your own time, feel free to skip questions where you do not feel you have any particular insights to share. In addition, feel free to skip any questions that you are not comfortable answering.

All your answers are confidential, and will be seen only by the researchers administering the survey. In addition, no data will be released that is not aggregated across all of the respondents. Quotes from open-ended questions will never be attributed to individuals and any potentially identifying information will be stripped before quoting. The survey should take between 15 and 30 minutes, and you are free to quit at any point in the survey. A copy of the study results will be sent to all respondents. If you have any questions, please contact Patrick Wright at patrick.wright@moore.sc.edu.

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Center for **Executive Succession**

Your Role as Chief Human Resource Officer:

When you are answering questions about percentages, you will be able to see them calculated at the bottom to ensure that you do not exceed 100%.

Over the course of an average *fiscal year*, what percent of your time would you say you spend in each of the following roles?

Strategic Advisor to the Executive Team (activities focused specifically on the formulation and implementation of the firm's strategy):

Counselor/confidante/coach to the Executive Team (activities focused on counseling or coaching executive team members or resolving interpersonal or political conflicts among team members):

Liaison to the Board of Directors (preparation for board meetings, phone calls with board members, attendance at board meetings):

Talent Strategist/Architect (activities focused on building and identifying the human capital critical to the present and future of the firm):

Leader of the HR Function (working with HR team members regarding the development, design and delivery of HR services):

Workforce Sensor (activities focused on identifying workforce engagement/morale issues or concerns and building employee engagement):

Representative of the Firm (activities with external stakeholders, such as government agencies, investor groups, proxy advisory firms, professional societies, etc.):

Other-Please Specify

Total

Your Role as Chief Human Resource Officer (continued):

Of the time you spend working with the *Board of Directors*, how much time is spent on:

Executive Pay Issues:	0
CEO Succession Issues:	0
CEO Performance Issues:	0
Other Senior Executive talent/succession issues:	0
Other Senior Executive performance issues:	0
Ethics/Compliance/Governance Issues:	0
Risk Management:	0
Activist Investors:	0
Other-Please Specify 	0
Total	0

What are your CEO's top 2 or 3 priorities for you/the HR function?

CEO Succession Process:

How long has your CEO been in the role?

Less than 6 months

6 -12 months

1 - 2 years

2 - 3 years

3 - 4 years

5 years or more

Which of the following describes how s/he was promoted into the CEO role:

Promoted from within

Hired directly into the CEO role from outside

Hired from outside for the purpose of being promoted into the CEO role

Have you found creative ways to assess/gain information on CEO successor candidates? If so, how?

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CEO Succession Process (continued):

Approximately how many insiders are currently considered potential successors to your current CEO?

0

1

2-3

4-6

7-8

9 or more

Of these people, how many would be ready to succeed the CEO in the following time frames?

Immediately:

0

Not immediately, but within 6 months:

0

Not within 6 months, but within 6-24 months:

0

Greater than 24 months:

0

Total

0

Approximately how many *external* candidates are you currently monitoring as potential successors to the CEO?

0

1

2 - 3

4 - 6

7 - 8

9 or more

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CEO Succession Process (continued):

Do you have a formal agreed-upon timeline for your CEO to transition out of his/her role?

Yes

No

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CEO Succession Process (continued):

Do you have a formal agreed-upon timeline for your CEO to transition out of his/her role?

Yes

No

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How much longer do you *THINK* your CEO will remain in his/her role before a successor is in place?

Less than 6 months

6 -12 months

1 - 2 years

2 - 3 years

4 - 5 years

more than 5 years

If your CEO were to step down or leave today, how confident are you that his/her permanent successor would immediately (i.e., within a few weeks) be an internal direct report (i.e., immediate promotion without an "interim" CEO)?

0% 10% 20% 30% 40% 50% 60% 70% 80% 90%

If your CEO were to step down or leave today, how long do you think it would

take to have a permanent successor in place?

Less than one week

One to two weeks

One month

1 -3 months

3 - 6 months

6 months or more

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The Board and CEO Succession:

How would you describe your Board of Directors' involvement in succession?

Highly Engaged

Engaged

Ambivalent

Disengaged

Disruptive

To your knowledge, does your board do each of the following with regard to CEO Succession?

	Yes	No	Don't Know
Conducts 5+ year Business Strategy and Global Industry Sector analysis	☐	☐	☐
Develops clear role profile for CEO aligned to 5+ year enterprise business strategy analysis	☐	☐	☐
Develops clear role profiles for direct reports to the CEO aligned with 5+ year enterprise business strategy	☐	☐	☐

Has scheduled conversations with CEO regarding time for succession	☐	☐	☐
Develops a well defined CEO succession process	☐	☐	☐
Has a clearly defined ownership for CEO succession processes	☐	☐	☐
Has formal tools for talent assessment of CEO pipeline candidates	☐	☐	☐
Considers restructuring organization to create building block roles and key experiences for potential successors	☐	☐	☐
Includes discussion of CEO succession in board minutes	☐	☐	☐
Designs exposure to Board for CEO talent pipeline	☐	☐	☐
Has feedback processes on performance and development to candidates	☐	☐	☐
Reviews formal development plans for CEO candidates	☐	☐	☐
Conducts ongoing assessment of readiness of internal candidates and depth of talent pipeline	☐	☐	☐
Regularly explores the external market for potential CEO successors	☐	☐	☐

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The Board and CEO Succession (continued):

To what extent is the agenda for board meetings set by the CEO vs. the board?

	CEO: 0%;	CEO: 10%;	CEO: 20%;	CEO: 30%;	CEO: 40%;	CEO: 50%;	CEO: 60%;	CEO: 70%;	CEO: 80%;	CEO: 90%;
	Board: 100%	Board: 90%	Board: 80%	Board: 70%	Board: 60%	Board: 50%	Board: 40%	Board: 30%	Board: 20%	Board: 10%
Please select one	☐	☐	☐	☐	☐	☐	☐	☐	☐	☐

Based on your interactions with the CEO regarding the board, how would you describe his/her beliefs about the board?

	Strongly Disagree	Disagree	Neutral	Agree	Strongly Agree
The board provides useful guidance	☐	☐	☐	☐	☐
The board fully supports the CEO	☐	☐	☐	☐	☐
The board has full confidence in the current strategy	☐	☐	☐	☐	☐
The board has full confidence in the CEO	☐	☐	☐	☐	☐
The board never seems overly critical in board meetings	☐	☐	☐	☐	☐
The board seldom oversteps its bounds	☐	☐	☐	☐	☐
The board is a useful source of expertise	☐	☐	☐	☐	☐
The board has the necessary breadth of expertise	☐	☐	☐	☐	☐
The board is diverse in terms of women and minority members	☐	☐	☐	☐	☐
Board members work well with one another	☐	☐	☐	☐	☐

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C-Suite Pipeline:

The following questions focus on the high potentials that **you are currently grooming for future C-Suite roles in the next 3-5 years**. How important are each of the following practices as a part of your strategy for effectively managing high potentials?

Identification of High Potentials:

	Not a Part of Our Strategy	Less Important	Somewhat Important	Very Important
Inform high potentials of their status	☐	☐	☐	☐
Use metrics to measure the strength of your leadership pipeline	☐	☐	☐	☐
Use formal assessments (cognitive/personality/competency tests) to identify high-potentials	☐	☐	☐	☐
Use 360 assessments to identify high-potentials	☐	☐	☐	☐
Consider diversity implications when identifying high-potentials	☐	☐	☐	☐
Look for high-potentials outside of your organization	☐	☐	☐	☐
Use current high-potentials to nominate and vet new/future high-potentials, further validating/or challenging leader designated high-potentials	☐	☐	☐	☐

Development of High Potentials:

	Not a Part of Our Strategy	Less Important	Somewhat Important	Important	Very Important
Provide high-potentials access to senior leadership	☐	☐	☐	☐	☐
Provide mentoring/coaching from outside the organization	☐	☐	☐	☐	☐
Provide mentoring/coaching from inside the organization	☐	☐	☐	☐	☐
Formally assigns development responsibilities for each high potential	☐	☐	☐	☐	☐
Regularly re-assess and reconstitute (move in and out) the existing high-potential pool	☐	☐	☐	☐	☐
Conduct formal assessments (360, cognitive/personality tests, assessment centers, etc.) for skill gaps in high-potentials	☐	☐	☐	☐	☐
Provide rotational assignments for high-potentials across departments and/or functions	☐	☐	☐	☐	☐
Provide experiences required for critical leadership positions and mapping your high potentials	☐	☐	☐	☐	☐
Ensure candidates gain experience working and living abroad	☐	☐	☐	☐	☐
Develop high potentials through job / role change or expansion to broaden through new challenges and fill experience gaps	☐	☐	☐	☐	☐
Sponsor and fund executive MBAs to develop business acumen/strategic thinking	☐	☐	☐	☐	☐
Leverage external leadership development programs	☐	☐	☐	☐	☐
Conduct internal leadership development programs that are unique to your organization's strategy	☐	☐	☐	☐	☐
Identify real business challenges, sponsored by senior leadership, for high potentials from different disciplines to tackle and solve	☐	☐	☐	☐	☐
Identify opportunities for external presentation and visibility (events, conferences) for high-potentials	☐	☐	☐	☐	☐

Identify opportunities to serve on non-profit boards

☐

☐

☐

☐

Retention of High Potentials:

	Not a Part of Our Strategy	Less Important	Somewhat Important	Important	Im
Create customized incentive plans for individual high-potentials	☐	☐	☐	☐	
Allow high-potentials greater flexibility in performing their work	☐	☐	☐	☐	
Ensure that high-potentials are recognized within the organization for their accomplishments	☐	☐	☐	☐	
Allow high-potentials greater influence in business-decision making	☐	☐	☐	☐	
Allow high-potentials greater influence in creating the organization's culture	☐	☐	☐	☐	
Track retention rate of high-potentials	☐	☐	☐	☐	
Proactively identify potential retention risks using external predictive analytics and address via coaching, compensation, etc.	☐	☐	☐	☐	

What is the most innovative thing your organization has done to manage high-potential employees?

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C-Suite Succession Failures:

The following questions focus on the prevalence and origins of C-suite succession failures (if you feel this information is too sensitive, feel free to leave blank)

In your experience, over the last 5 years, of the *INTERNAL* promotions into C-suite roles, what percentage of them resulted in failure (i.e., had to be removed within a year or two)?

0%

10%

20%

30%

40%

50%

>50%

Based on your experiences with senior INTERNAL C-suite hires that failed, please rate how frequently each was a cause of that failure:

	Never	Rarely	Sometimes
The nature of how the job was structured made it difficult for one to succeed	☐	☐	☐
The person turned out to not have the necessary skills to succeed in the job.	☐	☐	☐
The scale of the job was much bigger than the individual's previous job, and the individuals could not scale up adequately.	☐	☐	☐
The person's skill mix did not fit well with that of the rest of the executive leadership team	☐	☐	☐
The individuals' personality (ego, selfishness, narcissism, etc.) did not fit well with the executive leadership team	☐	☐	☐
The individual was unable to develop the necessary relationships to succeed in the role	☐	☐	☐
Other (please specify)	☐	☐	☐

When considering direct costs (recruitment, signing bonus, salary, bonus, LTIP, severance, etc.), what is the average cost of an INTERNAL succession failure?

<\$2 million

\$2 - 5 million

\$5 - 10 million

\$10 - 20 million

\$20 - 30 million

>\$30 million

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C-Suite Succession Failures (continued):

In your experience, over the last 5 years, of the *EXTERNAL* promotions into C-suite roles, what percentage of them resulted in failure (i.e., had to be removed within a year or two)?

0%

10%

20%

30%

40%

50%

>50%

Based on your experience with senior EXTERNAL C-suite hires that failed, please rate the how frequently each was a cause of that failure:

Never Rarely Sometimes

Our culture makes it difficult for people to come from outside, no matter how hard they try to adapt

☐
☐
☐

Our culture makes it difficult for people to come from outside, but these people either did not feel the need or did not make much effort to adapt

☐
☐
☐

The nature of how the job was structured made it difficult for one to succeed

☐
☐
☐

The person turned out to not have the necessary skills to succeed in the job

☐
☐
☐

The person's skill mix did not fit well with that of the rest of the executive leadership team

☐
☐
☐

The individuals' personality (ego, selfishness, narcissism, etc.) did not fit well with the executive leadership team

☐
☐
☐

The individual was unable to develop the necessary relationships to succeed in the role

☐
☐
☐

Other (please specify)

☐
☐
☐

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When considering direct costs (recruitment, signing bonus, salary, bonus, LTIP, severance, etc.), what is the average cost of an EXTERNAL succession failure?

<\$2 million

\$2 - 5 million

\$5 - 10 million

\$10 - 20 million

\$20 - 30 million

>\$30 million

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Activist Investors:

Does your company currently face pressure from one or more activist investors:

Yes

No

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Activist Investors (continued):

Is your company doing anything to prevent such pressure in the near term, and if so, what?

What, if any, is your role in preventing these pressures?

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Executive Leadership Team (ELT) Dynamics:

The following questions focus on the dynamics surrounding your executive leadership team:

Based on your observations of the ELT, how would you describe their interactions with one another?

	Never	Seldom	Sometimes	Frequently
How much does the ELT disagree about the content of strategic decisions?	☐	☐	☐	☐
How frequently does the ELT have disagreements about ideas?	☐	☐	☐	☐
To what extent are there differences of professional opinion in the ELT?	☐	☐	☐	☐
How often do ELT members disagree with the company's strategic decisions?	☐	☐	☐	☐
How much personal friction is there with ELT members?	☐	☐	☐	☐
How much are personality clashes evident with the ELT?	☐	☐	☐	☐
How much tension is there among ELT members?	☐	☐	☐	☐
To what extent are grudges evident among members of the ELT?	☐	☐	☐	☐
ELT members absolutely respect each other's competence	☐	☐	☐	☐
Every ELT member shows absolute integrity	☐	☐	☐	☐
ELT members expect the complete truth from each other	☐	☐	☐	☐
ELT members count on each other to fully live up to their words	☐	☐	☐	☐

CEO perceptions of the ELT:

Based on your interactions with the CEO regarding the ELT, how would you describe his/her beliefs about the ELT?

	Never	Seldom	Sometimes	Frequ
The CEO believes that the ELT provides useful guidance	☐	☐	☐	☐
The CEO believes that the ELT fully supports the him/her	☐	☐	☐	☐
The CEO believes that the ELT members appropriately insert themselves in strategic decisions	☐	☐	☐	☐
The CEO believes that the ELT has full confidence in his/her strategy	☐	☐	☐	☐
The CEO believes that the ELT never seems overly critical in meetings	☐	☐	☐	☐
The CEO believes that the ELT members seldom overstep their bounds	☐	☐	☐	☐
The CEO believes that the ELT has the necessary breadth of expertise	☐	☐	☐	☐
The CEO believes that the ELT members work well with one another	☐	☐	☐	☐
The CEO believes that overall, this is a very effective ELT	☐	☐	☐	☐

ELT perceptions of the CEO:

Based on your interactions with the ELT members regarding the CEO, how would you describe ELT members' beliefs about the CEO?

	Never	Seldom	Sometimes	Frequ
The ELT members believe that the CEO provides useful guidance	☐	☐	☐	☐
The ELT members believe that the CEO fully supports ELT members	☐	☐	☐	☐
The ELT members believe that the CEO has chosen an appropriate strategy	☐	☐	☐	☐
The ELT members believe that the CEO has full confidence in the ELT members	☐	☐	☐	☐
The ELT members believe that the CEO never seems overly critical in meetings	☐	☐	☐	☐

The ELT members believe that the CEO seldom oversteps his/her bounds	☐	☐	☐	☐
The ELT members believe that the CEO has the necessary expertise	☐	☐	☐	☐
The ELT members believe that the CEO works well with the ELT	☐	☐	☐	☐
Overall, ELT members believe that the CEO is very effective	☐	☐	☐	☐

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CHRO Succession:

How did your predecessor vacate the CHRO role?

Normal retirement

Promotion/transfer to another role

Left the organization for new position

Mutual agreement to move on

How were you promoted into the CHRO role?

Internal from HR

Internal from outside of HR

Direct external hire

Indirect external hire (hired with the promise of later promotion)

How did the CFO get promoted into the CFO role?

Internal from within finance

Internal from outside of finance

Direct external hire

Indirect external hire (hired with the promise of later promotion)

From the CEO's perspective, what were the top 2-3 areas that the previous CHRO was weak?

What do you think are the 3 most important determinants of CHRO success in the role?

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Individual Background:

How long have you been in the HR profession?

<3 years

3-5 years

5-10 years

10-15 years

15-20 years

>20 years

How long have you been in a CHRO role?

<1 month

1-6 months

6-12 months

1-2 years

2-5 years

5-10 years

>10 years

How long have you been in this particular CHRO role?

<1 month

1-6 months

6-12 months

1-2 years

2-5 years

5-10 years

>10 years

Individual Background (continued):

Who do you directly report to?

Chief Executive Officer

Chief Operations Officer

Chief Administrative Officer

Chief Financial Officer

General Counsel

Other (please specify)

Age

Sex:

Male

Female

Race

White

Black or African American

Asian

Hispanic or Latino

American Indian or Alaska Native

Native Hawaiian or Other Pacific Islander

Other (please specify)

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How many U.S. employees does your company have?

How many global employees does your company have?

What were your 2014 revenues? (in millions of dollars)

We would also like to expand this survey to explore how board members view the CEO succession process and your role. If you would be interested in discussing some of the issues above in more detail and/or would be willing to invite one of your board members to participate in a very short survey, please provide your name and phone number and we will contact you:

First Name:

Last Name:

Phone:

If you have any questions, please contact Patrick Wright at patrick.wright@moore.sc.edu.

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